

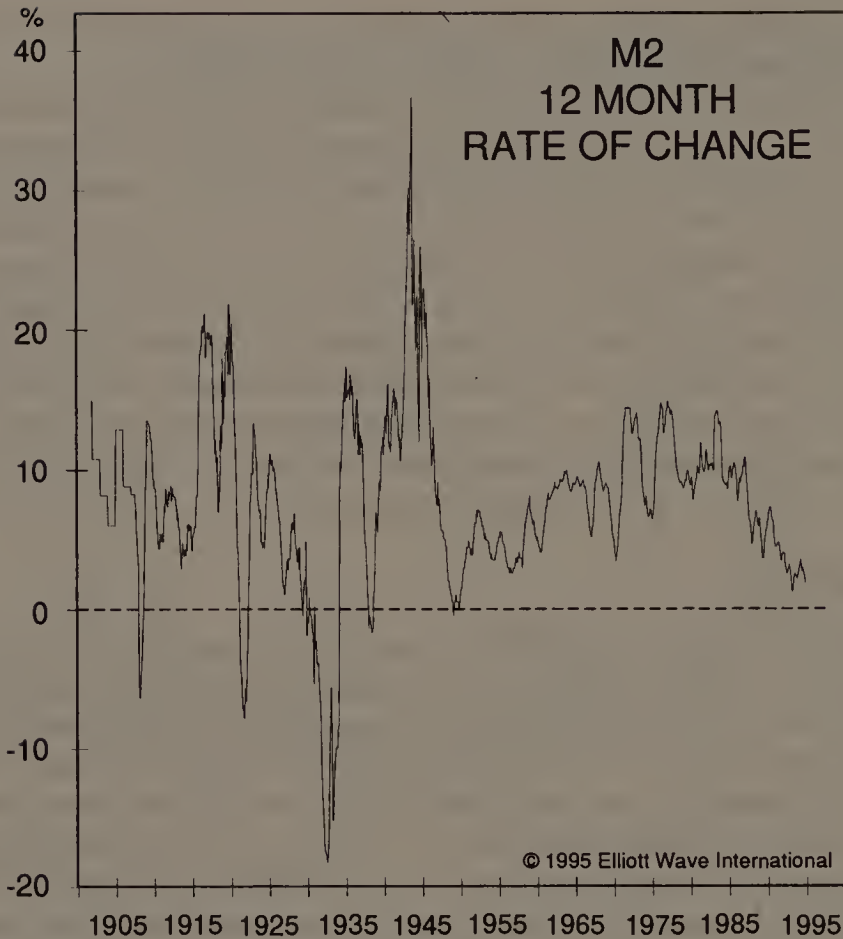


Figure 14-2

tion is. Figure 14-2 shows the rate of change in M-2 over the past thirty-five years. The 13-year period from 1970 to 1983 contained three bursts of money supply growth in percentage double digits. Such high rates of change have not been seen since, as disinflation has reigned, exactly as forecast in *The Elliott Wave Theorist*. The persistent drop in the rate of expansion in the money supply since then has had *consequences*. Let's see if we can spot some of them.

Price Trends Reflect Liquidity Flows

Prices for goods overall ebb and flow with both the level of production and the money supply, the latter being the greater influence. How have prices behaved? Figure 14-3 shows an index of prices for industrial materials; Figure 14-4 shows the GDP deflator, a price index used to adjust the Gross Domestic Product for changes in the prices of a broad array of goods and services included in GDP; Figure 14-5 shows the rate of change in the Producer Price Index and